9. INCOME TAXES

The provision for income taxes comprises the following (in thousands):

	FOR THE YEARS ENDED DECEMBER 31,		
	2003	2002	2001
Continuing Operations:			
Current			
U.S. federal	$ 3,818	$ 3,938	$ 1,196
U.S. state and local	1,179	1,913	59
Foreign	253	141	(71)
Deferred			
U.S. federal	(485)	475	(6,139)
Foreign	(16)	(16)	(34)
Total	$ 4,749	$ 6,451	$(4,989)
Discontinued Operations:			
Current U.S. federal	$ (649)	$(2,954)	$(4,242)
Current U.S. state and local	-	794	(1,454)
Deferred U.S. federal	684	1,494	2,478
Total	$ 35	$ (666)	$(3,218)

A summary of the significant temporary differences for continuing operations that give rise to deferred income tax assets/(liabilities) follows (in thousands):

	DECEMBER 31,	
	2003	2002
Deferred compensation	$ 7,015	$ 6,117
Accrued insurance expense	6,091	5,987
Accruals related to discontinued operations	2,872	3,556
Severance payments	1,779	1,380
Allowances for uncollectible accounts receivable	1,052	1,184
Accrued state taxes	974	1,047
Market valuation of investments	475	-
Amortization of intangibles	-	314
Other	2,463	2,527
Gross deferred income tax assets	22,721	22,112
Accelerated tax depreciation	(2,631)	(4,388)
Investment basis difference	(2,050)	(248)
Amortization of intangibles	(619)	-
Market valuation of investments	-	(960)
Other	(1,776)	(2,096)
Gross deferred income tax liabilities	(7,076)	(7,692)
Net deferred income tax assets	$ 15,645	$ 14,420

Included in other assets at December 31, 2003, are deferred income tax assets of $5,589,000 (December 31, 2002 -- $4,526,000). Based on the Company's history of prior operating earnings and its expectations for future growth, management has determined that the operating income of the Company will, more likely than not, be sufficient to ensure the full realization of the deferred income tax assets. The difference between the actual income tax provision/(benefit) for continuing operations and the income tax provision/(benefit) calculated at the statutory U.S. federal tax rate is explained as follows (in thousands):

	FOR THE YEARS ENDED DECEMBER 31,		
	2003	2002	2001
Income tax provision/(benefit) calculated using the statutory rate of 35%	$ 115	$ (841)	$(5,504)
Nondeductible goodwill impairment charge	3,513	7,120	-
Nondeductible intangibles impairment charge	562	-	-
State and local income taxes, less federal income tax effect	767	1,243	39
Domestic dividend exclusion	(441)	(686)	(706)
Unfavorable/(favorable) federal adjustments	103	(314)	337
Foreign income taxes, less federal income tax effect	26	(85)	(277)
Nondeductible amortization of goodwill	-	-	1,203
Other--net	104	14	(81)
Actual income tax provision/(benefit)	$ 4,749	$ 6,451	$(4,989)
Effective tax rate	1,447.9%	(268.5)%	31.7%

Income tax benefits attributable to the exercise of non-qualified employee stock options were $960,000 during the year ended December 31, 2003 (2002 - $122,000; 2001 - $219,000) and were credited directly to additional paid-in capital.

Income taxes included in the components of other comprehensive loss are as follows (in thousands):

	FOR THE YEARS ENDED DECEMBER 31,		
	2003	2002	2001
Unrealized holding gains/(losses)	$ (180)	$ 132	$ 905
Reclassification adjustment	(2,039)	(366)	(290)

Summarized below are the total amounts of income taxes paid/(refunded) during the years ended December 31 (in thousands):

2003	$ 2,715
2002	(910)
2001	5,772